

# FY2026 Financial Forecast (Version 2, Revised)

**Version:** 2.0 (mid-year revision) **Prepared by:** FP&A team **Approved by:** Daniel Reyes, CFO, and Maya Okafor, CEO **Date:** 15 July 2026 **Supersedes:** FY2026 Financial Forecast (Version 1), dated 20 January 2026

## 1. Summary

This revised forecast replaces version 1 of the FY2026 forecast in full. Version 1 should no longer be used for planning, quota setting or board materials.

The FY2026 ending ARR target is revised from \$48M to **\$46.5M** at 31 December 2026. The reduction of \$1.5M reflects the four-week slip of Atlas 5 general availability from June to July 2026 and a lower-than-planned Beacon attach rate in the first half. ARR at the end of Q2 2026 was \$41.8M, slightly ahead of the version 1 path for Q2 (\$41.6M), but the second-half bookings outlook is lower.

Total revenue for FY2026 is now forecast at **\$42.4M**, and the gross margin target is raised to **79.0%** because of hosting savings achieved earlier than expected.

## 2. Revised targets

| Metric                | FY2026 v1 target | FY2026 v2 target | Change  |
|-----------------------|------------------|------------------|---------|
| Ending ARR            | \$48.0M          | \$46.5M          | -\$1.5M |
| Total revenue         | \$43.5M          | \$42.4M          | -\$1.1M |
| Gross margin          | 78.5%            | 79.0%            | +0.5 pt |
| Net revenue retention | 116%             | 114%             | -2 pt   |
| Operating margin      | -4.0%            | -4.5%            | -0.5 pt |
| Year-end cash         | \$29.0M          | \$28.6M          | -\$0.4M |

## 3. Quarterly ARR path (v2)

| Quarter end      | Actual / target ARR |
|------------------|---------------------|
| Q1 2026 (actual) | \$39.6M             |
| Q2 2026 (actual) | \$41.8M             |
| Q3 2026 (target) | \$43.9M             |
| Q4 2026 (target) | \$46.5M             |

## 4. Changes in assumptions

- Atlas 5 general availability moved to 21 July 2026; the Enterprise price uplift applies from Q3 only.
- Beacon attach rate on new Enterprise deals lowered from 45% to 38%, in line with first-half actuals.
- New logo bookings growth lowered from 30% to 24% year over year.
- Hosting unit costs fell 9% (plan: 6%) after the reserved-capacity migration in May.

## 5. Actions

1. Sales leadership (Tom Lindqvist) will rebalance second-half quotas to the version 2 ARR path by 1 August 2026.
2. Department heads re-plan Q3 and Q4 non-payroll budgets against version 2; the Q3 2026 operating budget was approved on this basis.
3. The board receives the revised forecast at the 29 July 2026 board meeting.
4. FP&A will re-forecast again after the October close only if ARR deviates more than 3% from the version 2 path.

## 6. Document control

| Version | Date            | Ending ARR target | Status     |
|---------|-----------------|-------------------|------------|
| 1.0     | 20 January 2026 | \$48.0M           | Superseded |
| 2.0     | 15 July 2026    | \$46.5M           | Current    |

Owner: Daniel Reyes (CFO). Questions: #finance-fpa on Slack.